FINANCIAL ACCOUNTING & REPORTING

May - 2026

Time allowed- 3:30 hours
Total marks- 100

[N.B. - The figures in the margin indicate full marks. Questions must be answered in English. Examiner will take account of the quality of language and of the manner in which the answers are presented. Different parts, if any, of the same question must be answered in one place in order of sequence.]

Marks

1. a) A company purchased a specialized machine for Tk. 500,000 three years ago. Its current replacement cost is Tk. 600,000, while its net realizable value (if sold today) is Tk. 420,000. The present value of future cash flows from the machine is Tk. 550,000.

Requirement:
Define four measurement bases mentioned in the conceptual framework and state the value of the machine under each of them. 5

b) When and how to prepare financial statements when 'going concern' does not apply? What are the key references or principles of IFRS or Conceptual Framework to apply such basis? 5

c) Recently, your uncle Mr. Kaiser Hamid, who knows that you always have your eye out for a profitable investment, has discussed the possibility of your purchasing some corporate bonds. He suggests that you may wish to get in on the "ground floor" of this deal. The bonds being issued by Orion Corporation are 10-year debentures which promise a 40% rate of return. Orion manufactures novelty/party items. You have told that, unless you can take a look at its financial statements, you would not feel comfortable about such an investment. Believing that this is the chance of a lifetime, Uncle Kaiser Hamid has procured a copy of Orion's most recent, unaudited financial statements which are a year old. These statements were prepared by Mrs. Sharmin, wife of the MD of Orion Corporation. You peruse these statements, and they are quite impressive. The statement of financial position showed a debt-to-equity ratio of 0.10 and, for the year shown, the company reported net income of Tk 2,424,240. The financial statements are not shown in comparison with amounts from other years. In addition, no significant note disclosures about inventory valuation, depreciation methods, loan agreements, etc. are available.

Requirement:
Write a letter to your uncle Kaiser Hamid explaining why it would be unwise to base an investment decision on the financial statements that he has provided to you. Be sure to explain why these financial statements are neither relevant nor a faithful representation. 7

2. a) Critically examine how flexibility within IAS 16 may be exploited for earnings management purposes. Provide five examples and assess their implications for earnings management. 8

b) Dorin Power Ltd has a building at Palton Avenue whose current carrying amount is Tk 2,000,000 (with accumulated depreciation of Tk 200,000) as at 31 December 2020. The building is used for administrative purpose as Head Office of the Company. The building had originally cost Tk 3,000,000. It was revalued downwards from a carrying amount of Tk 2,700,000 to Tk 2,200,000, i.e by Tk 500,000. (Tax rate is 30% exist) at 31 December 2019. However, as on 31 December 2020, the building is reassessed as having a fair value of Tk 2,800,000.

After revaluation, the building is re-assessed to further use of 14 years. However, at the end of December 2024, the management of the company has moved its Head Office to a newly constructed building at Gulshan-2. As a result, the existing building is decided to let out for rental for Tk 200,000 per month from January 2025. Thereby, management of the company has decided to follow the fair value model to disclose the building in its financial statements. Accordingly, they appointed a professional valuer who measured the fair value of the building Tk 2,500,000 as on 31 December 2024.

Requirements:
Put the necessary journal entries since beginning for these transactions considering the accounting year closed on 31 December. Assume that the fair value of the building is reduced to Tk 2,300,000 by the valuer at the end of December 2025 following the outbreak of Covid-19. How this transaction should be accounted for? 8

3. TechSol Ltd. is a Bangladeshi company engaged in the manufacturing and trading of high-end electronic components and solar panels. The company follows IFRS. You are the Financial Reporting Manager of TechSol Ltd. The company's draft financial statements for the year ended 31 December 2023 are under review. The following matters related to inventories have been brought to your attention:

(1) Valuation of Raw Materials and Finished Goods (Solar Panel Division)
The company uses the FIFO (First-In, First-Out) cost formula for its solar panel division. The inventory of finished solar panels and the raw materials used to produce them are as follows:

Item	Quantity (Units)	Cost per Unit (Tk.)	NRV per Unit (Tk.)
Raw Material A	5,000	1,800	1,700
Raw Material B	5,000	1,200	1,150
Finished Solar Panels	2,000	4,500	4,200

Additional Information:
(i) Raw Material A and Raw Material B are used exclusively in the production of Solar Panels.
(ii) The total cost of a finished solar panel (Tk. 4,500) comprises Tk. 3,000 for raw materials (A & B), Tk. 1,000 for direct labor, and Tk. 500 for manufacturing overheads.
(iii) The NRV of the finished solar panels has declined due to a fall in global market prices and a sudden increase in import duties on finished goods. Management is unsure whether the raw materials need to be written down as well.

(2) Valuation of Finished Goods (Electronic Components Division)
This division uses the Weighted Average Cost formula. The inventory of a specific electronic component, "Chip-Z," shows the following:

Opening balance:	1,000 units at Tk. 500 per unit.
Purchase on 15 May 2023:	2,000 units at Tk. 550 per unit.
Purchase on 20 November 2023:	1,500 units at Tk. 600 per unit.
Sales during the year:	3,500 units.

On 31 December 2023, the NRV of Chip-Z was determined to be Tk. 480 per unit.

(3) Write-down and Reversal of Write-down (Historical Data)
The following information relates to a separate line of "Inverter" inventories, which is not part of the above divisions:

(i) As at 31 December 2022: The carrying amount of Inverters in the statement of financial position was Tk. 12,00,000, after recording a write-down of Tk. 3,00,000 to reduce them to their NRV of Tk. 12,00,000 (cost was Tk. 15,00,000).
(ii) During the year ended 31 December 2023: The market conditions for Inverters improved significantly. By 31 December 2023, the NRV of these inverters had increased to Tk. 16,50,000.

(4) Disclosure Omission
Upon reviewing the draft financial statements, you note that the "Notes to the Accounts" section does not include any specific disclosures regarding inventories, other than the total carrying amount.

Requirements:

a) Discuss, with reference to IAS 2, the principles for determining the cost of inventories and the subsequent measurement. How do these principles apply to the raw materials in the Solar Panel Division? 3

b) Calculate the value of finished goods (Solar Panels) and raw materials (A & B) to be reported in the statement of financial position as at 31 December 2023 for the Solar Panel Division. Show all workings and provide justifications for your treatment of the raw materials. 3

c) Calculate the cost of the closing inventory for "Chip-Z" for the Electronic Components Division using the Weighted Average Cost formula and determine the amount of any write-down required. Show all workings. 3

d) Explain the accounting treatment for the Inverter inventory as at 31 December 2023. Calculate the amount of any reversal of write-down and the new carrying amount to be reported. Show all workings. 3

e) Identify the key disclosure requirements for inventories as per IAS 2. Based on the scenario, what specific disclosures are missing from the draft financial statements of TechSol Ltd.? 4

4. a) On 1 January 2025, Panda Foods PLC, a subsidiary of Panda Ltd presented the following capital and reserves:

Particulars	Tk. '000
Ordinary share capital (Tk. 1 per share)	2,500
Share premium	350
Retained earnings	4,820
Total equity	**7,670**

During the year ended 31 December 2025, the following transactions occurred:

- 1 January 2025, the company issued Tk. 250,000 of 10% Tk. 1 redeemable preference shares at a 50% premium. Issue costs amounted to Tk. 6,800. The shares will be redeemed at a 40% premium on 31 December 2029. The effective interest rate on these instruments is 11%.
- 31 March 2025, Horizon Foods issued 600,000 ordinary shares at Tk. 1.40 per share. Share issue expenses (net of tax) amounted to Tk. 30,000.
- 30 June 2025, A 2-for-5 bonus issue of ordinary shares was approved, using the share premium balance first and then retained earnings.

Profit for the year, before accounting for the above items, was Tk. 1,240,000. Dividends on the redeemable preference shares have been charged to retained earnings.

Requirement:

Set out capital and reserves and liabilities resulting from the above on 31 December 2025 8

b) The following information relates to Turian Co. Limited (TCL) for the year ended 31 December 2025:

i. Product quality dispute and subsequent events: On 15 December 2025, TCL submitted a claim of Tk. 18 million against a key supplier for supplying defective electronic components. On 20 January 2026, the supplier accepted responsibility and agreed to refund Tk. 12 million in cash. For the remaining Tk. 6 million, TCL has filed for compensation with the supplier's insurer. Based on legal advice, it is probable that 60% of this balance will be recovered. The matter is still under review as of 31 December 2025.

ii. Restructuring of operations: In November 2025, TCL's Board approved a plan to close its Khulna assembly facility and shift all operations to Chittagong. A detailed formal plan was finalized, and employees were informed through an official notice on 5 December 2025. The closure and relocation are expected to be completed by 30 April 2026. The estimated costs of restructuring are as follows:

Description	Tk. '000
Severance payments to assembly workers	4,200
Relocation expenses for staff	750
Retraining costs	1,100
Salary of project manager overseeing the relocation	1,500
Total	7,550

Requirement:

Discuss the appropriate accounting treatment for each of the above matters in the financial statements of TCL for the year ended 31 December 2025. Quantify the required adjustments where relevant. 8

5. Safwan Ltd prepares its consolidated financial statements in accordance with IFRS. Safwan Ltd has investments in two companies, Sony Ltd and Sanyo Ltd.

Extracts from the draft financial statements of the three companies at 30 September 20X5 are shown below:

	Income statement		
	Safwan Ltd	**Sony Ltd**	**Sanyo Ltd**
	TK '000	TK '000	TK '000
Revenue	10,040	7,500	4,600
Cost of sales	(8,760)	(6,900)	(3,000)
Gross profit	1,280	600	1,600
Operating expenses	(400)	(420)	(1,120)
Profit from operations	880	180	480
Dividends received	80	-	-
Profit before taxation	960	180	480
Income tax expense	(400)	(60)	(160)
Net profit for year	560	120	320

Extracts from statements of changes in equity

	Safwan Ltd	**Sony Ltd**	**Sanyo Ltd**
	TK '000	TK '000	TK '000
Balance brought forward	2,500	6,400	2,000
Net profit for period	560	120	320
Ordinary share dividends	(600)	(100)	-
Balance carried forward	2,460	6,420	2,320

Additional information

(1) The issued share capital of each company is:
Safwan Ltd: TK 1 ordinary shares – 2 million
Sony Ltd: TK 1 ordinary shares – 1 million
Sanyo Ltd: TK 1 ordinary shares – 3 million

(2) Safwan Ltd acquired 80% of the TK 1 ordinary shares in Sony Ltd on 30 September 20X1 for TK 6 million. The retained earnings of Sony Ltd on that date were TK 6 million.

(3) On 1 November 20X2, Safwan Ltd acquired 60% of the TK 1 ordinary shares in Sanyo Ltd for TK 4 million. The retained earnings of Sanyo Ltd at that date were TK 3 million.

(4) Safwan Ltd disposed of its entire holding in Sanyo Ltd for TK 3 million on 31 March 20X5. It has not yet accounted for this disposal. Profits in Sanyo Ltd have accrued evenly throughout the year.

(5) The fair value of the plant and equipment of Sony Ltd was TK 200,000 in excess of its carrying amount at the date of acquisition. The remaining useful life of the plant and equipment was assessed at four years from that date.

(6) Sony Ltd sold goods to Safwan Ltd at a transfer price of TK 180,000 during the year ended 30 September 20X5. The transfer price was based on a mark-up of 50% on cost. One third of the goods remained in the inventory of Safwan Ltd at the year end.

(7) Safwan Ltd.'s inventory includes 5,000 finished goods items with a carrying amount of TK 100 each. The normal selling price of these items is TK 120 per item and selling commissions are TK 30 per item. Safwan Ltd had a contract in place to sell 2,000 items to a customer at TK 70 per item in October 20X5. No selling commissions will be incurred under this contract.

(8) Safwan Ltd has undertaken annual impairment reviews of goodwill. At 30 September 20X4 impairment losses of TK 120,000 and TK 50,000 for Sony Ltd and Sanyo Ltd respectively needed to be recognized. A further impairment loss of TK 30,000 has been identified in respect of Sony Ltd for the year ended 30 September 20X5.

Requirements:

a) Prepare the consolidated income statement of Safwan Ltd for the year ended 30 September 20X5. (Note: You should assume that the disposal of Sanyo Ltd constitutes a discontinued operation in accordance with IFRS 5 Non-current Assets Held for Sale and Discontinued Operations.) 17

b) Prepare the movements on retained earnings and minority interest that would appear in the consolidated statement of changes in equity for the year ended 30 September 20X5. 4

c) Set out the principles you have applied in accounting for the disposal of Sanyo Ltd. 4

6. a) A government receives tax revenue during the year but recognizes it only when cash is collected, ignoring amounts that are legally due but not yet received. Evaluate whether this treatment complies with IPSAS and explain the correct approach. 5

b) A Ministry receives government budget funding and conditional donor grants for healthcare. At year-end, some budget remains unspent, part of donor funds is misused, and some expenses are incurred but unpaid. What would be the proper treatment? 5

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